

Payment Chronicle by Gajanan

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Companies: Square, Adyen

Article 1

Adyen taps Plaid to push “pay by bank” into the mainstream

Adyen just teamed up with Plaid, the open banking rails that link apps to bank accounts, to make bank to bank payments and account verification a native part of Adyen's checkout and risk stack. Translation: merchants on Adyen can offer pay by bank alongside cards, use Plaid to confirm accounts and balances in real time, and let Adyen handle the processing, acquiring, and fraud controls—likely rolling out in select markets where open banking/ACH is viable.

Why it matters: card rails are pricey and chargeback prone. Bank payments can be cheaper and harder to reverse, which helps margins and reduces fraud. For subscriptions and marketplaces, Plaid's data can cut onboarding friction and failed payments, while Adyen keeps it all under one roof. But there's a catch. Bank payments still suffer from clunky UX, slower settlement in some corridors, and unfamiliar dispute flows. Conversion, not just cost, will decide winners.

Big picture: this deepens Adyen's “alternatives to cards” play and helps merchants diversify tender types without stitching together vendors. If adoption scales, expect more pressure on interchange economics—and more checkout pages nudging you to “pay from your bank” instead of keying in a card.

Source: PaymentsJournal

<https://www.paymentsjournal.com/adyen-and-plaid-partnership-what-it-means/>

Article 2

Adyen rides the holiday BNPL wave with a deeper Klarna tie-up

BNPL is set to surge again this holiday season, and the report says Swedish giant Klarna is leaning further into its partnership with Dutch processor Adyen to handle more of those transactions. In plain English: Klarna wants a tighter, more efficient payments backbone, and Adyen gets to sit closer to the BNPL firehose when volumes spike. For Klarna, consolidating acquiring and processing can mean better authorization rates, lower costs, and faster merchant settlement—key levers when consumers are splitting more purchases into installments. For Adyen, it's incremental peak-season volume, a stronger alternative payments story, and a defensive win against rivals jostling for BNPL flows at checkout. Merchants on Adyen also benefit: one integration, more payment options, potentially higher conversion. The catch? BNPL growth is drawing regulatory scrutiny and consumer-credit concerns. But Adyen doesn't take credit risk here; it earns on processing and acquiring while the lender underwrites the installment plan. Net-net, if festive BNPL spending delivers, Adyen's volumes—and its pitch as the go-to platform for modern checkout—get a lift, even as the sector's economics and oversight evolve.

Article 3

Square brings bitcoin to the checkout counter

Square wants your corner store to take bitcoin. The payments firm is adding bitcoin payment capabilities for its merchants—another step in parent company Block’s long-running bet that crypto can be more than a trading hobby. For small businesses, this sounds like a new way to woo younger, crypto-savvy customers and potentially sidestep some traditional payment costs, depending on how Square routes and prices these transactions. It could also make cross-border sales simpler if buyers pay in BTC. But there are caveats. Bitcoin’s price swings and tax reporting rules can spook merchants; adoption will likely hinge on whether Square offers painless conversion to local currency, clear accounting tools, and predictable fees and settlement times. The bigger picture: If Square links this with Cash App’s large user base, it could finally give crypto payments a mainstream test at scale. For card networks, it’s another tiny crack in the wall. For SMBs, it’s optional—yet it signals that crypto is inching from speculation to actual spending. Watch the fine print on fees, settlement, and how many shoppers really choose to pay in bitcoin.

Article 4

Square’s new ‘Handheld’ cuts the smartphone out of checkout

Square built its name on little gizmos that turned anyone’s phone into a card machine. Now it’s taking the phone out of the picture. The company’s new “Handheld” is a purpose-built, portable POS that rolls payments and Square software into a single device—no Bluetooth readers, no staff phones, fewer moving parts. Why it matters: reliability and control. Merchants hate checkout hiccups caused by dead batteries, flaky connections and BYOD policies. A dedicated unit gives Square tighter hardware-software integration, simpler fleet management for multi location operators, and a training experience that’s the same for every new hire. For Square (Block), it also nudges the business further into proprietary hardware—think higher attachment to subscriptions, lower dependence on Apple/Android changes, and a stickier ecosystem. Strategically, Handheld squares up against Toast, Clover and Shopify’s own all in one devices as restaurants and retailers shift to line busting and tableside payments. The trade-off? More upfront hardware spend, but potentially lower total cost of ownership and fewer support headaches. In short: Square is betting that owning the whole checkout stack beats piggybacking on your phone.

